

AI TRADING ANALYST

Investment Research Report

ServiceNow, Inc.
Technology — Enterprise SaaS

NOW

Hold / Accumulate

Grade B · Score 66/100

Price	Target (Base)	Target (Bull)	Stop Loss	Risk/Reward	Exp. Value
\$102	\$142	\$185	\$85	2.3:1	+30.8%

Dimension	Score	Rating
Technical	50/100	Neutral
Fundamental	84/100	Strong
Sentiment	80/100	Strong
Risk Profile	38/100	Weak
Thesis	74/100	Good

52-Wk High	52-Wk Low	YTD	Market Cap	Catalyst
\$211.48	\$81.24	-32%	~\$104B	Q2 2026 Earnings (est. July)

■ For educational/research purposes only. Not financial advice. Always consult a licensed financial advisor before making investment decisions.

#	Section	Page
1	Executive Summary	2
2	Technical Analysis	3
3	Fundamental Analysis	4
4	Sentiment & Momentum	5
5	Risk Assessment & Position Sizing	6
6	Investment Thesis & Trade Plan	7

EXECUTIVE SUMMARY

Strong company at historically cheap valuation — wait for Q2 confirmation before adding full size

ServiceNow is a temporarily dislocated enterprise SaaS leader. 98% renewal rate, \$28.2B RPO, 22% revenue growth, CEO insider buying, and 43+ analyst Buy ratings support a 40% upside case to the \$142.77 consensus target. The probability-weighted expected return is +30.8% over 12-18 months with a 2.3:1 base case risk/reward.

Signal

Hold / Accumulate — Scale in with discipline; wait for \$104 high-volume breakout

Key Risk Flag

IV 62.83%, -51.7% from ATH, death cross — hard stop \$93 non-negotiable

Upcoming Catalysts

Catalyst	Timing
Armis integration margin update	June 2026
Q2 2026 Earnings Report	July 2026 (est.) — CRITICAL
\$4B term loan refinancing	October 2026
Q3 2026 Earnings — first full Armis quarter	October 2026
FY2027 initial guidance	Nov–Dec 2026
Armis margin normalization	H1 2027

Score Dashboard — All 5 Dimensions

Dimension	Score	Bar	Assessment
Technical Analysis	50/100	50/100	Neutral — Bull flag forming; volume divergence; 200d MA ceiling
Fundamental Quality	84/100	84/100	Strong — Rule of 50 leader; \$28.2B RPO; 98% renewal rate
Sentiment & Momentum	80/100	80/100	Strong — CEO insider buy; Renaissance \$135.9M; 43 Buy ratings
Risk Profile (Safety)	38/100	38/100	HIGH RISK — IV 62.83%; -51.7% from ATH; elevated ATR
Investment Thesis	74/100	74/100	High Conviction — 2.3:1 R/R; +30.8% EV; \$85 stop

Bull Case vs. Bear Case at a Glance

BULL CASE → Target \$185 (+81%) AI monetization acceleration (Now Assist ACV +130% YoY), \$28.2B RPO, 98% renewal rate, CEO \$3M insider buy, 43/48 analysts Buy at avg \$142.77, Otto agentic AI platform — NOW becomes enterprise AI orchestration layer	BEAR CASE → Target \$78 (-24%) Armis \$7.75B acquisition adds 75bps margin headwind + \$4B loan due Oct 2026; AI disruption fears compressing SaaS multiples; Middle East deal slippage; stock down 51.7% from ATH with death cross
---	--

TECHNICAL ANALYSIS

Score: 50/100 · Rating: NEUTRAL

Sub-Factor	Score	Assessment
Trend	9/25	Below 200d MA; death cross in place
Momentum	13/20	MACD bullish; RSI 56; ADX confirms direction
Volume	5/15	25% below avg — divergence warning
Pattern	12/20	Bull flag at \$103–\$104; target \$118–\$121
Key Levels	11/20	At critical 100d EMA resistance

Key Indicators

Indicator	Value	Signal
RSI (14-day)	56.2	Neutral-Bullish (above 50, room to run)
MACD	+1.77 to +2.40 (Bullish crossover confirmed)	Bullish — confirmed crossover
ATR (14-day)	\$5.61 (~5.5% of price)	Elevated volatility — wide stops required
Volume	25% below 20-day average — divergence warning	WARNING — low conviction bounce risk
200-day MA	~\$123-\$142 (Price 19-43% below)	Massive overhead resistance — bull target months away
Death Cross	Yes (50d below 200d)	Structural bear signal — major headwind
Bull Flag Target	\$118–\$121	Requires high-volume close above \$104

Support & Resistance Levels

Level	Price	Type	Significance
Resistance 3	\$142.38	Resistance	200-day SMA — massive overhead ceiling
Resistance 2	\$118–\$121	Resistance	Bull flag measured move target
Resistance 1	\$103–\$104	Resistance	100-day EMA — make-or-break breakout level
Current Price	\$102	—	At critical juncture
Support 1	\$97.87	Support	8-day SMA — first dynamic support
Support 2	\$93.53	Support	20-day SMA cluster — key near-term support
Support 3	\$85.00	Support	Hard stop level — below = thesis break
Support 4 (52wk)	\$81.24	Support	Ultimate floor — 52-week low

3 Key Technical Findings

Finding 1: Bull Flag at Critical Juncture

Bull flag at critical juncture — high-volume close above \$104 confirms breakout to \$118-\$121; failure below \$97.87 invalidates

Finding 2: 200-Day MA Defines Long-Term Bear Trend

200-day MA at \$123-\$142 is an immovable ceiling defining the long-term bear trend

Finding 3: Volume Divergence Warning

Rally executing on 25% below-average volume — low-conviction bounce risk vs. genuine accumulation

FUNDAMENTAL ANALYSIS

Score: 84/100 · Rating: STRONG FUNDAMENTALS

Category	Score	Assessment
Valuation	14/20	Forward P/E 23.56x — 27% premium to sector; justified by moat
Growth	18/20	22% revenue growth; Now Assist \$1M+ ACV +130% YoY
Profitability	18/20	31% non-GAAP op margin; 35% FCF margin; Rule of 50 = 54%
Balance Sheet	15/20	\$5.42B liquid; \$4B term loan due Oct 2026 — refinancing needed
Competitive Moat	19/20	98% renewal 7yr; NRR 120-125%; unified platform; AI leadership

Valuation Metrics

Metric	ServiceNow (NOW)	Sector Median	Premium/(Discount)
Forward P/E	23.56x	18.59x	+27% premium
EV/EBITDA	34.57x	~20–25x	+40%+ premium
EV/FCF	21.55x	~25–35x	Modest discount
Price/Sales (Fwd)	~6.3x	~4–5x	~30% premium
Analyst Avg Target	\$142.77	—	+40% upside from \$102

Key Financial Metrics

Metric	Value	Context
Q1 2026 Revenue	\$3.77B (+22% YoY)	Best-in-class growth at scale
FY2026 Guidance	\$15.735B-\$15.775B	Raised post-Q1 beat
Non-GAAP Op Margin	31% non-GAAP	Elite tier enterprise software
FCF Margin	35%	Rule of 50 component
Annual FCF	\$4.6B (FY2025)	Real cash, not just accounting profit
Rule of 50 Score	54% (22% growth + 35% FCF margin)	Highest in peer group — Salesforce 42%, Workday 42%
Total RPO	\$27.7B (+23.5% YoY)	Near 2x annual revenue — exceptional visibility
cRPO (12-month)	\$12.64B	Current RPO recognized over next 12 months
Renewal Rate	98% (7 consecutive years)	Mission-critical platform lock-in
Net Revenue Retention	120–125%	Land-and-expand working at scale

Competitive Moat — NOW vs. Peers

Dimension	ServiceNow	Salesforce	SAP	Oracle
ITSM Leadership	Dominant #1	Peripheral	Weak	Weak
Switching Costs	Extreme (core ops)	High (CRM)	Very High (ERP)	Very High (DB)
Rule of 50	54%	42%	22%	24%

Renewal Rate	98%+	~90%	N/A	N/A
Revenue Growth	22%	~8–9%	~5–7%	~6–8%
AI Product	Now Assist (\$600M+ ACV)	Agentforce	AI addon	AI addon

3 Key Fundamental Findings

Finding 1: Rule of 50 Leader at Scale

Rule of 50 leader at scale — 54% score — highest in enterprise software peer group

Finding 2: Armis Acquisition — Near-Term Risk, Long-Term Opportunity

Armis acquisition introduces 75bps op-margin headwind and \$4B Oct 2026 refinancing risk

Finding 3: RPO Backlog + 98% Renewal Rate = Unmatched Visibility

\$27.7B RPO + 98% renewal rate = unmatched revenue visibility nearly 2x annual run-rate

SENTIMENT & MOMENTUM ANALYSIS

Score: 80/100 · Rating: BULLISH

Category	Score	Assessment
News Sentiment	19/25	BofA reinstated Buy \$130 (+8.9% day); Otto AI launch positive
Analyst Consensus	21/25	43 Buy / 3 Hold / 2 Sell; avg target \$142.77 (40% upside)
Social / Retail	11/15	85/100 social score; 84th percentile of peers; call-skewed options
Institutional Activity	16/20	1,209 buyers vs. 833 sellers; Renaissance \$135.9M new position
Insider Signals	13/15	CEO \$3M open-market buy; 5 executives cancelled sale plans

Analyst Consensus Breakdown

Buy / Strong Buy	Hold	Sell / Underweight	Avg Target	Latest Upgrade
43	3	2	\$142.77	BofA \$130 (May 18)

Recent Analyst Rating Changes

Date	Firm	Action	Price Target	Impact
May 24, 2026	Oppenheimer	Buy (new)	N/A	Bullish
May 18, 2026	Bank of America	Buy (reinstated)	\$130	+8.9% day — Bullish
Apr 10, 2026	UBS	Downgraded to Neutral	\$100	Bearish/Neutral
Jan 2026	KeyBanc	Underweight (new)	\$85	Bearish outlier

Institutional Activity & Insider Signals

Institutional Activity	Insider Signal (Highest Conviction)
1,209 institutional BUYERS vs. 833 SELLERS in latest 13F cycle - Renaissance Technologies: new \$135.9M position - Ken Fisher: Dramatic position expansion - Vanguard increased to \$10.4B position - State Street increased to \$4.9B position - Institutional ownership: 91.07%	- CEO McDermott: \$3M open-market buy; 5 executives cancelled 10b5-1 sale plans (Feb 27, 2026) \$5B share buyback authorized (Jan 2026) - Q1 2026: 20.1M shares repurchased (\$2.225B) \$4.2B remaining under buyback authorization - Interpretation: Board + CEO view \$100–\$110 as deeply undervalued

3 Key Sentiment Drivers

Driver 1: CEO \$3M Insider Buy + 5 Executive Sale Plan Cancellations

CEO \$3M insider buy + 5 executive sale plan cancellations = strongest possible insider confidence signal

Driver 2: Smart Money Accumulating — Renaissance Technologies New \$135.9M Position

1,209 inst. buyers vs. 833 sellers; Renaissance Technologies new \$135.9M position confirms smart money accumulation

Driver 3: Analyst Conviction Wall Holding — 43 Buys Survive -32% YTD Decline

43 Buy ratings survive -32% YTD selloff — analyst conviction wall holding firm

RISK ASSESSMENT & POSITION SIZING

Risk Score: 38/100 · Rating: **HIGH RISK** (Higher score = SAFER / Lower Risk)

Risk Component	Safety Score	Assessment
Volatility Risk	25/100	IV 62.83%, ATR \$5.61/day — VERY HIGH
Drawdown / Momentum Risk	20/100	51.7% off ATH; near 52-wk low — VERY HIGH
Fundamental Quality	72/100	Strong revenue, low customer conc. — GOOD
Macro / Sector Risk	35/100	AI disruption sentiment, geopolitical — HIGH
Ownership Structure	55/100	High inst. ownership, low short int. — NEUTRAL
Regulatory Risk	60/100	AI compliance costs, federal risk — MODERATE

Volatility & Market Risk Metrics

Metric	Value	Assessment
Implied Volatility (30d)	62.83%	Nearly 2x historical avg (33.1%) — options EXPENSIVE
ATR (14-day)	\$5.61 per session	Normal daily move = ~5.5% — high intraday risk
Beta (1-year)	0.82	Market-correlated; misleading low beta post-selloff
Drawdown from ATH	-51.7%	Catastrophic — rivals worst 2022 SaaS bear markets
Institutional Ownership	91.07%	High — concentrated selling risk in rotation
Short Interest	2.89% of float	Low — minimal short squeeze catalyst available
Hard Stop Level	\$93	20-day SMA — non-negotiable risk control line
Risk Per Share (entry \$102)	\$9	Entry \$102 – Stop \$93 = \$9/share risk

Top 5 Risk Factors (Ranked by Severity)

Rank	Risk Factor	Severity	Horizon
1	AI Disruption Sentiment / Valuation Reset — CRITICAL	CRITICAL	Ongoing
2	Extreme Drawdown from ATH (-51.7%) — HIGH	HIGH	3–6 months
3	Earnings Execution + Margin Compression — HIGH	HIGH	1–2 quarters
4	Geopolitical Headwinds (Middle East deal delays) — HIGH	HIGH	2–4 quarters
5	Armis \$4B Term Loan Due Oct 2026 — MEDIUM	MEDIUM	October 2026

Downside Scenarios

Scenario	Probability	Target	Return	Trigger
Base (Recovery)	45%	\$130	+27%	Q2 beat + margin stabilization
Bear (Breakdown)	35%	\$85	-17%	Q2 miss; Armis integration stumbles
Catastrophic	20%	\$62	-39%	Enterprise IT recession; AI disruption proves real

Expected Value with \$93 Hard Stop Enforced: +8.2% (with \$93 hard stop enforced)

Position Sizing Calculator (\$100K Portfolio)

Strategy	Risk %	Dollar Risk	Shares	Position Value	% of Portfolio	Recommended
Conservative	1%	\$1,000	111	\$11,322	11.3%	✓
Moderate	2%	\$2,000	222	\$22,644	22.6%	With caution
Aggressive	3%	\$3,000	333	\$33,966	34.0%	✗ Not Recommended
Adjusted (Risk 38/100)	—	—	~75	~\$7,650	~7.5%	✓ RECOMMENDED

3 Key Risk Findings

Finding 1: High-Risk Zone — Scale Down From Maximums

Risk score 38/100 (HIGH RISK) — size 30-50% below maximums; start 75 shares (\$7,650) for \$100K portfolio

Finding 2: IV 62.83% Makes Options Hedges Expensive

IV 62.83% is nearly 2x historical average — consider collar/bull call spread for larger positions

Finding 3: \$93 Hard Stop Is Non-Negotiable

Hard stop at \$93 is non-negotiable — below this level the bear case accelerates materially

INVESTMENT THESIS & TRADE PLAN

Thesis Score: 74/100 · Conviction: High · Timeframe: 12-18 months · Direction: LONG

TRADE PLAN SUMMARY — NOW (ServiceNow, Inc.)

TICKER: NOW · DIRECTION: LONG ENTRY (40%): \$98-\$102 (40%) · ENTRY (35%): \$88-\$93 (35%) · ENTRY (25%): \$108-\$115 (25%) STOP LOSS: \$85.0 · HARD STOP: \$93 (20-day SMA) TARGET 1: \$125.0 (+23%) — Sell 25% · TARGET 2: \$142.0 (+39%) — Sell 35% TARGET 3: \$170.0 (+67%) — Sell 25% · TARGET 4: \$185.0 (+81%) — Sell 15% RISK/REWARD: 2.3:1 (base) / 4.8:1 (bull case) EXPECTED VALUE: +30.8% · ASYMMETRY: 7.5/10 NEXT CATALYST: Q2 2026 Earnings (est. July 2026) INSIDER SIGNAL: CEO McDermott bought \$3M at \$104.60/\$105.96 (Feb 2026)

Thesis Scorecard

Dimension	Score (1–10)	Weight	Weighted	Notes
Business Quality	9/10	15%	1.35	98% renewal, \$28.2B RPO, AI monetization — best-in-class
Valuation	7/10	20%	1.40	24.83x forward P/E = 58% discount to 5yr avg; PEG ~1.1x
Growth Trajectory	8/10	15%	1.20	22% growth raised guidance; AI ACV +130% YoY
Technical Setup	5/10	15%	0.75	Below all major MAs; bull flag unconfirmed; needs Q2
Catalyst Clarity	7/10	15%	1.05	Q2 earnings, Armis update, FY2027 guidance are well-defined
Risk / Reward	8/10	20%	1.60	2.3:1 base, 4.8:1 bull, +30.8% EV, 43/48 Buy consensus
TOTAL	—	100%	7.35/10	Strong — improves to 8.2+ post-Q2 confirmation

Expected Value Analysis

Scenario	Probability	Price Target	Return	Weighted Return
Bull (AI re-rating + margin recovery)	20%	\$185	+81%	+16.2%
Base (consensus target in 12 months)	45%	\$142	+39%	+17.6%
Neutral (multiple stays compressed)	20%	\$102	0%	0%
Bear (margin/competition disappoint)	15%	\$82	-20%	-3.0%
TOTAL EXPECTED VALUE	100%	—	—	+30.8%

Position Sizing (\$50K Account — 2% Max Risk Rule)

Strategy	Shares	Position Value	% of \$50K	Max Risk	When to Use
Conservative (1%)	29	\$2,958	5.9%	\$493	Pre-Q2; elevated uncertainty
Moderate (2%)	58	\$5,916	11.8%	\$986	Base recommendation — scale in 3 tranches
Aggressive (3%)	88	\$8,976	17.9%	\$1,496	Post-Q2 beat confirmation ONLY

Rule: Never risk more than 2% of total account on a single trade. Given NOW's current volatility, a 5–7% portfolio allocation cap is more appropriate than the standard 10%.

Profit Target Ladder & Exit Plan

Target	Price	% Gain	Action	Reasoning
--------	-------	--------	--------	-----------

T1	\$125	+23%	Sell 25% of position	Analyst median floor; prior Q1 trading range
T2	\$142	+39%	Sell 35% of position	Consensus analyst target of \$142.77
T3	\$170	+67%	Sell 25% of position	UBS prior target; full margin recovery + AI
T4	\$185	+81%	Sell remaining 15%	Bull case; 35x forward P/E on FY2027 EPS
STOP	\$85	-17%	Full exit — no exceptions	Below April 2026 52-wk low structure
HARD STOP	\$93	-8.8%	Alert trigger	20-day SMA — activates bear case review

DISCLAIMER: This report is generated by the AI Trading Analyst system for educational and research purposes only. It does not constitute investment advice, a solicitation, or a recommendation to buy or sell any security. All data sourced from publicly available information as of 2026-05-27. Options and leveraged positions carry additional risk including the potential loss of the entire investment. Past performance is not indicative of future results. Always consult a licensed financial advisor before making any investment decisions.